

Board Executive Brief: Capital Allocation Ahead of 2027 Readouts

Loblolly Ridge Therapeutics | Office of the CEO with Finance | 2026-09-24 | v1.0

Confidential. For the board meeting on October 8, 2026. This brief asks the board to approve one commitment and to agree how three further decisions will be taken before the 2027 readouts. Supporting detail is in the September portfolio summary, the post-close budget review and the LRT-1107 program overview.

Decisions requested

- Approve CANOPY-1 change order 4: \$3.72 million in CRO services plus an estimated \$2.38 million in pass-through costs. Board approval is required because the total including pass-through is \$5 million or more.
- Agree the first quarter of 2027 as the decision point for LRT-2240: partner, self-fund a Phase 2b start, or hold.
- Note that research leadership will decide on bioanalytical capacity on October 2, within management's approval limits, and will report the outcome at this meeting.
- Agree to take the financing timing decision in the first quarter of 2027.

Business context

Our value over the next year rests on CANOPY-1. The study had randomized 467 of 640 participants (73%) at 104 of 112 sites by August 31. Topline results are now forecast for September 14, 2027, against July 2, 2027 in the FY2026 plan. LRT-4051 is on course for an IND in June 2027, about five weeks later than the April 30 baseline, because toxicology reports and GMP API release have moved into December.

Cash and investments were \$231 million on June 30, 2026, after the \$185 million Series D in March 2025. Of the venture debt facility of up to \$60 million, \$25 million is drawn. At the approved FY2026 plan and current commitments, management estimates cash runway into the second half of 2028, before any new partnering income. We have received \$55 million from Castellane for LRT-3318 and are eligible for up to \$590 million in further milestones plus tiered royalties.

Evidence: the September reforecast

January to August R&D was \$59.5 million against a \$64.4 million phased budget, \$4.9 million under, mainly from timing in nonclinical and CMC work.

The September reforecast puts FY2026 R&D at \$95.07 million against the \$94.8 million budget, \$0.27 million over, after releasing \$1.25 million of the reserve. LRT-1107 is forecast at \$55.05 million against \$52.60 million, including the first months of change order 4. The table summarizes the reforecast across the 56 budget cells.

Measure	Value
Measure	fy_budget_usd
Unit	USD
Total	94800000.0
Mean	1692857.1429
Records	56
Period	2026-01-01 to 2026-09-11
Measure	ytd_actual_usd
Unit	USD
Total	59508220.0
Mean	1062646.7857
Records	56
Period	2026-01-01 to 2026-09-11
Measure	h2_reforecast_usd
Unit	USD
Total	35561780.0
Mean	635031.7857
Records	56
Period	2026-01-01 to 2026-09-11
Measure	fy_forecast_usd
Unit	USD
Total	95070000.0
Mean	1697678.5714
Records	56
Period	2026-01-01 to 2026-09-11
Measure	variance_to_budget_usd
Unit	USD
Total	270000.0
Mean	4821.4286
Records	56
Period	2026-01-01 to 2026-09-11

FY2026 approved budget and the September 11, 2026 reforecast by cost object and category. YTD actual is January to August; H2 reforecast covers September to December.

Change order 4

What it buys. One additional country with six planned sites, and about three more months of CRO services to cover the longer enrollment period. The current forecast for last participant randomized, March 16, 2027, assumes the added country opens as planned.

What it costs. \$3.72 million in services and an estimated \$2.38 million in pass-through. About \$1.3 million falls in FY2026, already in the reforecast; the rest falls in 2027 and early 2028.

Signed Halvorsen commitments for CANOPY-1 already total \$64.16 million in services, including change orders 1 to 3 at \$4.73 million.

If we do not approve it. Enrollment continues in the existing 11 countries at the recent rate, which management expects would push last participant randomized toward the later end of the January to May 2027 range the CRO presented in June, and delay topline accordingly.

Management recommends approval.

LRT-2240: the path if no partner commits

The partnering tracker has 18 conversations for LRT-2240: 12 confidentiality agreements, 6 data-room accesses and 2 companies at management-meeting stage. No term sheet had been received by September 18, and indicative proposals are now expected in January 2027 rather than October.

Phase 2b readiness was paused in July. If no partner commits by the first quarter of 2027, the choices are to self-fund a Phase 2b start, to keep partnering without starting Phase 2b, or to hold the program. A Phase 2b start would trigger a \$5 million milestone to Tamsin Biosciences, within total obligations of up to \$28 million in milestones and low-single-digit royalties. We will bring a costed recommendation to the first board meeting of 2027.

Bioanalytical capacity

Research leadership will choose between a second LC-MS/MS triple-quadrupole system (about \$640,000 capital and six to eight months to routine use), a second shift on the existing systems (one additional scientist) and sending more discovery bioanalysis to external laboratories (about \$30,000 a month at current volume). The choice is within management's authority; it is included because it affects 2027 spend and the pace of DP-07 and LRT-4051 work.

Financing timing

Management plans to decide in the first quarter of 2027 whether to raise additional capital before or after CANOPY-1 topline results. Raising before topline protects the balance sheet against a later readout; raising after topline could be on better terms if the results support the program. Investor approaches and valuation will be discussed in the meeting and are not in this paper.

Portfolio risk in one view

The PMO register holds 150 milestones: 100 complete, 20 on track, 21 at risk, 4 late and 5 not started. The late items are CANOPY-1 site activation and the 75% randomization milestone, acceptance of the backup API supplier's audit response and the periodic-review backlog in Quality.

Five of seven LRT-3318 technology-transfer packages had been accepted by September 14.

Requested action

Approve change order 4 as set out above, and agree that the LRT-2240 path and financing timing will come back to the board in the first quarter of 2027 with recommendations.